06-Apr-2022

ROCKWOOL A/S (ROCK.B.DK)

Annual General Meeting

CORPORATE PARTICIPANTS

Thomas Kähler
Chairman, ROCKWOOL A/S

Jens Birgersson
President & Chief Executive Officer, ROCKWOOL A/S

Bjørn Rici Andersen
Senior VP-Group Operations & Technology, ROCKWOOL A/S

MANAGEMENT DISCUSSION SECTION

Unverified Participant

Dear, shareholders, good afternoon and welcome to the 2022 Annual General Meeting for ROCKWOOL, the ROCKWOOL group. It's been a couple of years ago since we were able to meet physically. So it's a pleasure to see so many familiar faces here today. Pursuant to section 7A of the articles of association, the board of directors has selected [indiscernible] 00:00:34 as Chairman of the general meeting.

So over to you, Anders.

Unverified Participant

Thank you, chair, and thank you to the board for asking me to appear as Chairman of the meeting. Just to deal with the formal details first. I need to find out whether the meeting has been duly convened and whether we are correct with regard to the items on the agenda.

According to the articles, convening notice must go out minimum three, maximum of five weeks' notice by publication on the company's website and also by notification to shareholders who have requested to receive such notification. This has happened in accordance with all the applicable rules. It happens on the March 10, 2022. It appeared on the company's website and was also issued through Nasdaq Copenhagen. And shareholders having requested a written convening notice, also received one.

With regard to the contents of the convening notice and the documentation that must be made available in connection with the AGM, I have checked that all requirements have been met. Also, the complete proposals have been available to shareholders in advance. And then there is a specific item this year, the location of the meeting we are so pleased to appear.

We are so pleased to appear in person here on the island of New Zealand, and we have been here before in this congress center. So I find that the meeting has been legally and lawfully convened. With regard to whether we are quorate here, you see the agenda. We have the standard items that apply to an AGM of Auckland. And there are three proposals also from the board of directors and two proposals from shareholders.

All items on the agenda can be adopted by means of a simple majority apart from the two proposals, 9b and 9c presented by the board, because they relate to amendments to the Articles of Association. So they require two-thirds of the votes cast as well as two thirds of the capital represented at the meeting, and minimum 40% of the total number of votes in the company must be represented at the meeting itself.

We have received a number of votes in advance and I can inform you that that requirement has been met. So today we are quorate with regard to all items on the agenda.

I will I get up to the minute list of the numbers to give you very soon. 180 people have asked for admission cuts. But true to tradition, we will deal with the first three items in one go, which means that first we will hear the chairman's report and there will be a presentation of the annual report, and then we will have a debate. So I give the floor now to the chairman of the board.

Thomas Kähler

Chairman, ROCKWOOL A/S

Good afternoon, everyone. As you can see on the agenda for today, we have quite a big program to get through. Nevertheless, it's important for me to start with what I think we're all most concerned about, the completely meaningless war in Ukraine. I'm convinced that everyone here today is left with exactly the same feeling of anger and despair at witnessing the horrific, vicious abuses to which the Ukrainians are exposed to every day. So no one should have any doubt that ROCKWOOL condemns the war. We're all affected by the consequences of this heinous war for the people of Ukraine.

For us at ROCKWOOL, the safety of our Ukrainian colleagues and their families is a top priority. And we've taken care of them from the very outset by bringing them to safety, by giving them financial assistance and by helping them to find a place to live. In addition, we've taken several initiatives which I should like to mention here today, that's important to me.

As a concrete reaction to Russia's invasion, we have previously canceled new investments, including an otherwise planned investment of DKK 1.5 billion. This substantial amount would have been spent on expanding capacity in Russia. But as we have also said to the media, ROCKWOOL has decided to maintain production at our four factories in Russia. It was not an easy decision, no, certainly not. The decision was controversial because many other companies, including many Danish companies, have announced that they will cease or seek to dispose seize or seek to dispose of their Russian activities. Of course, we knew that. But as Jens Birgersson stated to several meeting last week, this is for us the only thing that makes sense for Rockwool in this insane situation. At the same time, it's the only thing that will not yield more money to the Russian regime. So I like to explain that in a bit more detail.

First and foremost, it's important for me to stress that Rockwool, of course, complies with all applicable sanctions. In addition, we have intensified our attention to both the EU and the Danish governments announcements and expectations of the business community to ensure that we custody comply with any requirements that may be imposed.

Next, and this is very important to understand, Rockwool in Russia has a completely local business. What does that mean? It means that our factory is our business have a considerable value for the sole reason that they can continue operating if they were to be nationalized. The technology is there. It's in place. There's no need for other supply chain expertise and knowledge from the outside. Everything is present. So production can continue from day one as if nothing had happened completely without us.

So when I highlight this is because everything point at the direction that our factories will be nationalized. If we were to withdraw from Russia, we would, in other words, leave a well-run efficient business worth billions to the

Russian regime. We would do that overnight. So they would not only get the tax revenue from the business, but all the revenue from it.

So, in fact, that would leave two or three times more to the Russian government every single year in terms of taxes and ongoing revenue generated by the business. And to this, I'm sad that we would be leaving at least DKK 5 billion kroner to the Russian regime if we allowed them to take over our factories. We're talking about four modern factories with an international and very strong brand, with the world's leading stone wool technology and at least more than 1,200 highly qualified employees we have in Russia.

Everything would fall into the wrong hands and merely billions of krona would be left to the Russian regime. As I said, unlike many other companies, ROCKWOOL's business would have significant value because it could immediately continue its activities if it were to be nationalized. So of course, we are not simply going to leave these assets worth billions to the Russian government. We cannot see how such an action would contribute to ending the war sooner.

So if we do not, if ROCKWOOL does not continue to own the business, well, then the total value and the total profit will remain in Russia for the benefit of whom? Well, unfortunately, this goes without saying, for the benefit of the Russian regime. But that is not everything, the board of directors and the executive management have also considered the fact that if ROCKWOOL were to give the Russian government an excuse to nationalize our entire Russian business, these new owners, "They would simply – there would be a great risk that it could harm ROCKWOOL outside Russia." How? Well, because we How? Because we would be leaving some of our most valuable assets to the Russians in the form of our core technologies, our Russian production machinery, and all of our skilled, highly trained employees in Russia. ROCKWOOL is by far the global market leader in stone wool. This is not least by virtue of the innovations and technical solutions we have developed over the years, over many years. They enable us to build larger, more energy efficient production facilities than any other stone wool producer. And we can manufacture a wide range of unique products.

If that technology were to be taken over by others, a new competitor or an existing one, that will be a very strong competitor to us. So in the longer run, that could become a significant challenge for us over outside Russia. That's also why we do not just want to sell our Russian business and leave the country. Even if that were to turn out to be a real possibility. And as for the competitors, I was asked if we were not concerned that our customers will leave us and go to one of their competitors if ROCKWOOL stays in Russia.

So we've looked at it. We've looked at the status of other colleagues in the industry and what they have done. And the thing is that all our competitors, mineral wool factories are still in operation. That applies to everyone in the insulation industry, so that you know that side of the story too. So put briefly, if we were to give up our business in Russia, it wasn't our best judgment to do more harm than good. By contrast, by staying, we are trying what to do what is least good for Russia. So the way it looks right now, seen through the eyes of the board and management, the right thing is to stay, both ethically and commercially. If it was our view that from a business-wise, it was better sustained but ethically not, we would certainly have pulled out. But as I mentioned, our assessment is that also ethically it's the right thing to stay. We must bear in mind we cannot just close down the factories and leave is not an option. The factories will continue to run in any cases just with new owners.

So, this is about whether we should stay where we are today with the current tax payments or whether by leaving Russia, we will have to accept that they will not only receive the same taxes, but they would receive all the ongoing revenue from operations. That would be equivalent to the Russian regime getting 2 or 3 times more from our activities than they're today. Plus, they would get the assets worth at least DKK 5 billion.

So that is why we think ethically, we also think our decision is the right one because of the focusing on doing the least good for the Russian regime. We will, of course, at all times respect any legislation, any sanction that requires to act differently. That is clear. That's obvious. These are not easy decisions, but in the view of the board of directors and the executive management, it's the only thing we can prevent doing in this terrible situation.

Finally, and as it was said to the media and interviews last week, I'd like to emphasize that ROCKWOOL is set to play both an active and visible role when Ukraine hopefully soon will begin this week, construction process. It will be a colossal task but it's a task where ROCKWOOL certainly has a role to play. Exactly where and how, I can't say today, but it's important for the board and the executive management that you as shareholders know where we stand as far as this is concerned. You know, we are following the situation closely. We evaluate on a daily basis how to best proceed, and we sincerely hope that peace will be restored very soon.

I have been looking forward to sharing with you at this general meeting the thoughts we have had and the whole background of the difficult considerations. So I hope I've given you a good insight into the options we have and their likely consequences. And should anyone be left with questions you feel that haven't answered, I'll be happy if you would ask them during the questions section.

So let me turn to the main purpose of this AGM, which is to review the business results for 2021. At the same time, addressing the decisions that you our shareholders must make today. 2021 was in every way a strong year for the ROCKWOOL group. The global economy had a slowdown, but that was quickly replaced by a recovery, thanks to a combination of government-funded stimulus packages and pent-up demand from consumers.

There was a high level of construction activity that was positive for our business. But it also created challenges because there were increasing costs and certain capacity constraints. Our newest factory in West Virginia in the US started operating in July last year. It is already helping us now better serve the demand on the US market.

In 2021, we announced a number of investment projects to meet the growing demand for our stone wool products in the rest of the world. Investments that will also help us to continue to decarbonize our operations. These investments include the plans for a new factory in France, which will use electric melting technology and the conversion of our factory in Switzerland, so that will also be using electric melting technology.

Before we get to some of the specific results in the sustainability report, it's important to bear in mind what Jens Birgersson, our CEO set at COP26 in Glasgow. There, Jens spoke about the troubling disconnect between the long-term goals of the Paris Agreement to keep global temperature rise well below 2 degrees Celsius. And then the short-term actions that are required to meet that. Long-term pledges are important. But at the end of the day, that's just what the world needs action and accountability to live up to these pledges. Also in the short term, we know from our own experience that it is difficult but possible to reduce emissions. Like any well-run business, we execute and measure our short-term actions on the road towards reaching our long-term goals.

reaching our long term goals. And this is also a good way for countries and governments. The renovation of existing buildings is a case in point. It is really in effect for opportunity in the EU. Buildings account for 36% of all emissions. We also know that 75% of these buildings that we have today and they will be here in 2050. The EU gives priority to financing, building renovation as part of its green transition strategy, which is called Fit for 55. We expect these efforts to get even more attention now as a means to reduce the consumption of natural gas in Europe. We are ready to help deliver short term actions needed for society's critical long term goals to be reached.

Unverified Participant

The sustainability report for 2021 gives a good overview of the ways in which we increase the positive benefits of our products. The handprint and at the same time, reduce the impact of our operations, the footprint. The sustainability report also tracks our progress toward eight ambitious sustainability goals. And we made good progress in 2021 towards these goals.

Besides the two 2022 intermediate sustainability goals, we met in 2020 on water intensity and waste to landfill. We also met two other intermediate goals in 2021 in relation to CO2 intensity and reclaimed waste. More specifically, we have reduced the carbon intensity of our production by 16% compared to the intermediate goal, which is at 10%. The good results are mainly due to the switch to electric melting technology at the Moss factory in Norway and the switch over to climate neutral biogas in our two Danish factories.

As far as circularity is concerned, last year, we recycled 650 tonnes of secondary raw materials, which is the highest level ever. And we brought our rock cycle reclaimed waste service to three new countries. So now, a total of 17 countries have this possibility compared to the intermediate goal, which is at 15. This is an arrangement that has a major impact. In the last three years, we have increased the amount of stonewall collected and recycled by our rock cycle service by 56%. This is a fine achievement and we expect it to grow in future as the cost for landfill increases.

We also continue to make progress on our goal to improve the energy efficiency in our own non-renovated offices in 2021. We renovated an additional five of our office buildings. One of them was the main office in Gladbach, Germany where we managed to reduce the building's energy demand by 83%. In this way, we demonstrate with real world actions that we can actually renovate existing buildings to achieve the same energy efficiency levels as a newly built construction.

We experienced a negative trend in relation to our SBTi targets concerning reductions of absolute emissions compared to 2020, and this was primarily a result of an increase in our production volume. That said, we took important steps to decarbonize several of our factories, the impact of which will be seen in coming years. So overall, we are on the right track to meet our total emissions at the same time as we significantly increase our production volumes.

We also made solid progress last year towards fulfilling our 2030 goal by achieving a 15% reduction of our water consumption intensity compared to the baseline from 2015. This is a way of measuring the amount of water consumed per tonne of stone wool produced. We also reduce the amount of waste going to landfill by 51% compared again to the baseline from 2015. So all in all, three quarters of our stone wool factories have eliminated all stone wool waste going to landfill.

As far as the safety of our employees is concerned, it was important – it's important to say that thank God we did not have any fatalities in 2021, and that was also the case in 2020. Our lost time incident rate, however, unfortunately did increase and we have initiated several measures to improve the LTI (sic) [LIT] 00:23:16 trend, including additional safety audits at factories with the highest LIT rates, together with additional focus on sharing best practices across the group.

The construction industry generally experienced high growth in 2021, driven primarily by a pandemic-related demand, government-funded economic recovery and stimulus packages and increased climate action.

In Europe, in particular, and also in a growing number of US jurisdictions, energy efficient buildings have achieved greater recognition for their role in reducing greenhouse gas emissions. The rapid pace of recovery also created challenges, and it was industrywide that these problems existed supply constraints, rising inflation, soaring energy prices. We expect these challenges, which are exacerbated by the war in Ukraine, will continue to affect market conditions also in 2022.

ROCKWOOL achieved fine sales growth in almost all markets across the entire business. It was primarily the residential sector and here in particular renovation jobs that drove the growth while technical installation and commercial sales recovered later in the year. Sales in China and elsewhere in Asia were subdued. This was because of the continued negative effect from COVID-19 on the markets there. We saw a growing demand for the Systems segment products in all businesses.

2021 was another strong year for the ROCKWOOL Group. So on behalf of the board of directors, I'd like to thank our CEO, Jens Birgersson, our group management, and our 12,000 dedicated employees for their hard work and good results during yet another volatile and challenging year. Globally, net sales came to €3,088,000,000. It's the first time that we have exceeded the €3 billion mark. Sales price increases at the end of the year were higher than initially planned and added to higher growth. In a few markets, capacity constraints restricted further growth as customer demand came faster than we had expected. Regionally, sales in Western Europe increased by 16% in local currency, with all major markets ending the year with double-digit sales growth.

Sales in Eastern Europe were up 28% in local currency, and all markets reported of double-digit growth rates. In the rest of the world, including North America and Asia, sales increased by 21% reported in local currencies. In terms of sales by segment, insulation segment sales reached €2.291 billion, an increase of 20% in local currencies. All markets and businesses contributed to growth, mainly driven by high construction and renovation activity in the residential sector.

Systems segment sales reached just under €800 million, which is an increase of 16% reported in local currencies, and all businesses contributed with double-digit growth. The group's EBIT in 2021 came to €401 million, resulting in a full year EBIT margin of 13%, which was at the same level as in 2020. Despite sales price increase and productivity gains, we couldn't fully match soaring inflation on raw materials, logistics and energy. This was especially the case in the fourth quarter where we experienced a 6% EBIT decline relative to the fourth quarter of the year before.

Operational efficiency improved during the year as we continued prioritizing cost savings activities. This entailed focus on driving efficiency while still running at high capacity levels and investing in new competencies, digitization and growth initiatives. These efforts help deliver stable group profitability for the year.

In the Insulation segment, EBIT came to €226 million and an EBIT margin of 10.4%, a decrease compared to 2020 of 0.3 percentage points. Despite solid growth from all markets and businesses, sales prices and productivity gains did not fully offset the accelerating inflation towards the end of the year. Startup costs from the new factory in the United States also had a negative impact on the earnings level.

The Systems segment generated an EBIT of €126 million with an EBIT margin of 15.9%, up 1.1 percentage points from the year-earlier level. Most of the business areas succeeded in offsetting the increase in costs by means of higher sales prices.

At the end of 2021, the group had a net positive – cash positive position of €76 million and unused committed credit facilities of €600 million. Cash flows from operations decreased slightly from €438 million in 2020 to €426 million in 2021. Free cash flows from operating activities decreased slightly and free cash flows amounted to €116 million, an increase of €40 million, primarily due to lower investments. Cash flows from financing activities ended at a negative €194 million, mainly because of the payment of dividend and the full repayment of drawings on our credit facilities.

Investments for the year came to €302 million. This represented a decline of €41 million compared to the year before. Compared to our expectations announced in February 2021, several smaller investment projects were postponed to 2022 due to the high business activity levels. The largest individual investments in 2021 were the new factory projects in the United States, the conversion in Norway to the electric melter system, the new rock [indiscernible] 00:30:24 line in Poland and the relocation of one of the factories in China.

Also, we acquired a stonewall production facility in Japan from Bansyo Holdings and we acquired the minority stake shares in our China, Thailand and Malaysia businesses from the Danish Investment Fund for developing countries. In the Systems segment, we acquired the assets of Tripplex Acoustics, a small Danish producer of acoustics solution and a minority stake in acoustic design company called Akuart AS. We also announced plans of building a new factory in Soissons in France, another plant that will use electric melting technology, which makes the factory low on carbon emissions. And in Switzerland, we are converting our factory to electric melting technology based on power.

Stock prices, share prices, both Stock prices, share prices, both ROCKWOOL share categories increased in 2021. The A share rose by up to 15% and the B share 25%. That compares with a 22% increase in the benchmark index Europe's STOXX 600 construction and materials. And I just need to check my notes. A 22% increase in the European Index and a 17% increase in the Nasdaq OMXC25 Index. Consistent with our policy to pay out a stable dividend that is at least one-third of the net profit after tax for the year, we are pleased to propose a dividend of DKK 35 per share for fiscal 2021. This will be voted on formally later in the program.

If we look at the remainder of 2022, we expect the strong demand that developed quickly in the last three quarters of 2021 to continue. Of course, there is some uncertainty in connection with the full year picture. Energy costs and inflation are two key factors that we are closely monitoring. Energy and material prices were already increasing rapidly at the end of last year. And with the war in Ukraine and the resulting sanctions on Russia, this development has continued. These two factors could potentially disrupt the construction sector recovery and put a damper on overall market activity. And there's also a risk of supply chain and workforce bottlenecks, and this may cause a slowdown in European construction activity later this year. Much will depend on the market's ability to absorb relatively significant cost increases for a wider range of construction materials all over the world. If inflation continues growing, so too does the risk that some renovation and new build construction projects will be postponed or cancelled.

In North America, we anticipate that are – the demand for our products will continue to be strong. The new capacity we brought online in 2021 will help ROCKWOOL meet the demand and grow market share. We foresee the strong demand for systems segment products to continue in 2022. Overall, we anticipate that a combination of higher prices and a strong demand for stone wool products in 2021 will make it possible for us to continue a double-digit growth result, albeit with a higher proportion derived from pricing than from volume.

We forecast net sales growth in local currencies in the range of 15% to 20% for 2021, with high uncertainty in the second half of the year. The EBIT margin will be influenced in the first part of the year by the high and rapidly increasing input costs. But we do anticipate a gradual improvement as the year progresses. And for the full year we thus forecast an EBIT margin in the vicinity of 13%.

As we initiate the large capacity expansion project in France, along with systems segment, capital expenditures and various sustainability investments. We forecast an overall capital expenditure of around €500 million in 2022, excluding acquisitions. And the investment otherwise intended for Russia will be redirected to other growth opportunities.

Earlier this year we published in accordance with relevant legal requirements, our remuneration report for 2021. The report will be presented for an indicative vote later today. It contains an overview of the remuneration allocated to ROCKWOOL's board of directors and registered directors for the financial year 2021. Remuneration for the board of directors last year came to €694,000 and for the registered directors, it came to €3,931,000, and this is in accordance with our remuneration policy that was approved at the AGM last year. You see the amounts up here and the full report is available on our website.

In 2021, the board of directors also conducted the annual self-evaluation. This time, we decided to have an external consultant facilitate the process because we intend to do this every third year. And based on the 2021 evaluation, the board concluded that its composition is appropriate and sufficient for it to perform its tasks, and it supports the long-term value creation for the company and its shareholders.

Andreas Ronken, who was a member of the board up until today, informed us that he was not available for reelection. I'd like to thank him for his dedicated contribution to the board's work since he first joined in 2016. But I'm also very pleased to announce that we propose Ilse Henne to be – to be elected as new board member. She comes with extensive experience from the thyssenkrupp Group in Germany.

As a response to previous year's proposal from shareholders, the board of directors has looked into various options for introducing a permanent scheme allowing for the voluntary conversion of A shares into B shares on a 1:1 basis.

Item 9b on today's agenda contains a proposal from the board to the effect that a right is inserted in the Articles of Association, a right to reregister A shares to B shares on a 1:1 basis, i.e. one A share to one B share.

On behalf of the board of directors, I'd like to conclude by once again thanking the management team and all employees for a fine effort, hard work, and fine results in a challenging year. I'd also like to thank my colleagues on the board for good and constructive cooperation in the past year. And of course, also thanks are due to you, our loyal shareholders, for your continued support and investments in the ROCKWOOL Group. Thank you very much to all of you.

Unverified Participant

Thank you to the Chairman. Before I open up for discussion, let me just come back with the information I promised you about appearances today. We have 120 people present. 75% of the company [indiscernible] 00:38:55 is represented at about 88% of all votes. Of the votes, about 90% are present in the form of proxies and postal votes.

QUESTION AND ANSWER SECTION

A

Now, you can ask questions or make comments concerning the items presented by Thomas. There are three shareholders who asked for the floor, [indiscernible] 00:39:20, who come first. After that, we will hear closely our concerns and from the Danish Association of Shareholders and Bjorn Hansson has also asked for the floor. [indiscernible] 00:39:20 from ACP, you come first.

[ph] Mark Jessnen 00:39:20 from HCP, you come first. After that, we will hear closely your concerns and from the Danish Association of Shareholders and [ph] Bjorn Hansson 00:39:29 has also asked for the floor. But first to you Marc from HCP, the labor market supplementary pension fund.

Q

Thank you. So. I'm, [ph] Mark Jessnen 00:39:57. And I represent HCP. Thank you to the chairman for your report. I'd like to start by talking about the war in Ukraine. A war which is, of course, a humanitarian crisis with terrible human costs. All companies with activities in Ukraine and Russia are in a very difficult position, a position that leads to a number of dilemmas and difficult decisions that go beyond operations and regular questions.

The situation continues to develop. The right decision today may look different tomorrow. It is HCP's point of view, we have to be very careful thinking that as an outsider you have the reply. You will – you know what actions will benefit and harm the Russian regime. It's obvious that all companies must comply with the sanctions that are being introduced, but we also have an expectation that the individual company is aware of its responsibility and is potentially prepared to take difficult decisions. I'm convinced that ROCKWOOL is aware of its responsibility.

In light of the situation in Ukraine, other agendas may seem insignificant, but I'm still going to address another topic, the topic of sustainability.

So ROCKWOOL is now focusing more on sustainability, has done so in recent years, that's good. They're investing, you're investing in new solutions that will sort of get you away from coal-produced production. So you have enabled quicker transition to electricity than previously expected. Electricity-based production will give lower CO_2 emissions than competitors, so it'll be an advantage in competition. So you can really benefit more from the green agenda. But this transformation is also costly when it comes to developing costs and investment in your more than 50 plants. So we expect ROCKWOOL to be looking to further investments in the coming years. But it's difficult to see what the need for investments, it's difficult to understand the financial dynamics in ROCKWOOL, and that's not new. We have seen increased transparency in sustainability, but your approach to financial reporting has not changed.

In the present format, investors are left with many unanswered questions when it comes to what can influence the companies development. Unfortunately, we see that these unanswered questions give unwanted volatility in the share price and for us as long-term investors, volatility gives difficult conditions in a company which is otherwise stable and well driven.

That was it for me. I wish ROCKWOOL and its employees all the best in a year that really started much more tragically than when the year started. Thank you.

Unverified Participant

Thank you. And now, Jens Birgersson will come up and comment. And, Jens Birgersson, you can get ready, please.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Thank you for your comments, [ph] Mark 00:43:55. If we start with sustainability. We are showing now how much we invest. Obviously, we will not be investing less. But we focus a lot on developing new technologies even if – and so internally, we have an idea about how quickly we need to switch to better technology, better melting methods, for instance. But we haven't finished. We haven't finished that. I mean, we will explain as we go forward what we do. And one of the things that we do is what we've done in Norway. We now know what the cost is, but there are also other technologies that can be used. So the process has not been completely finalized. I can go back to that. We will come back to that and we will continue to invest in the same direction.

As regards volatility, there are two aspects. About six, seven, eight years ago, it was felt that ROCKWOOL was a cyclical share and that the result was too volatile. But we've spent quite many resources in management trying to make sure that we act and respond in such a way that we are adaptable if something happens to the market. For example, in 2020, it was a fantastic year even if the market was going down. And in 2021, we saw at the beginning of the year, there was practically no growth and all of a sudden there was 20% growth. So the reason why we can manage situations like that is that we try all the time to be flexible in our company. We really try to remove part of the volatility and the cyclical nature of our result.

As regards to the information we give to the surrounding world, yeah, that is difficult because we are a pure play company. We're the only company in the world that works only with stone wool. We have decided deliberately all the time not to tell too much. So we are not seeing what's happening in individual countries. We do not explain how many tons of stone wool we sell in each country but that's the choice we made and we are planning to continue that.

If you look at the volatility of the share, well, let there be no doubt we would like to avoid that. I think the share price went down sort of 7%, then there's the discussion about Russian coal in Europe. We don't use Russian coal at all. It doesn't influence us and still it influenced the price of our share. So this is a bit of information that you need to handle because you need to find out how things are intertwined.

But I've said it, we do not buy any Russian coal. But thank you for your comments.

A

Thank you. Hand over to [ph] Klaus 00:47:27 from the Danish Association of Shareholders.

A

Thank you. I'm [ph] Klaus Jørgen Sørensen 00:47:38 and I represent the Danish Association of Shareholders. We cater for the interests of private shareholders. We are working to develop a healthy share culture in Denmark. Danish Association of Shareholders had about – has about 18,000 members. What's important for us this year is decency and transparency. I'd like to praise the board and management for a very comprehensive and transparent annual report. ROCKWOOL is a solid company which has delivered good results over the years, and that your focus on climate issues and how you can help solve these problems.

Even if 2021 was again a challenging year because of COVID-19, an increase in raw material process and logistic challenges, still, the financial statements you're presenting are very good. Your revenue, your EBIT goes up 19%. Net profit goes up by €52 million to €303 million from the year before. Although the year before, because of COVID-19, there was a decline in revenue and profit. As a shareholder, it's a pleasure to see that the P share has gone up 25% and we have the 22% that we heard about from – and from STOXX 600 and Nasdaq went up too and shareholders will receive dividend going up by DKK 3 to DKK 35, that's very satisfactory. ROCKWOOL has been criticized for continuing its activities in Russia. Other foreign companies have decided to stop their corporation and their trading to sanction Russia. In the daily press and here at the AGM, ROCKWOOL has explained its decision to maintain its activities in Russia.

Question, how do you think that ROCKWOOL's reputation and support by the general population will be affected? And how do you think the business will be affected? Question two, management says in the annual report that you expect increase in sales of 15% to 20% in local currencies in 2022. Is that still your expectation in connection with the war on Ukraine? How big a share of revenue and production concerns Russia?

Finally, thank you to ROCKWOOL's board and management. I wish ROCKWOOL and the shareholders a successful 2022. Thank you.

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Thank you to Klaus Jørgen Sørensen from the Danish Association of Shareholders. Thomas Kähler will come and give a comment. And Bjorn Andersen, please stand by.

A

Thank you for your excellent intervention, Klaus, and your words of praise, particularly about sustainability. As I explained in my report, particularly about sustainability. As I explained in my report, if we gave up our business in Russia, it would be – it would do more harm than good. By staying, we are trying to do what we believe is still good for Russia. That being said, we have received a lot of negative mention in the media recently.

We have not yet seen a negative effect on our sales, but of course, we are sad about the lack of understanding from our point of view. We will continue to restore trust in ROCKWOOL, to say that ROCKWOOL always acts ethically, responsibly or decently as you said in your presentation. This is what we've been trying to do in this particular difficult situation.

And you asked about our expectations concerning growth. Are these expectations unchanged? Well, we still believe we will grow 15% to 20%, but as I said in my presentation, there are factors in the world that may be difficult to understand. So – but the way we see it today, we do expect to – that these forecasts will hold water. And you're saying how big a share is Russia? We do not give specific numbers by country, but I can tell you it's less than 10% of our business. Less than 10% of our business is in Russia.

Unverified Participant

Thank you. Next speaker is Bjørn Andersen. And if there are other requests for the floor, you are more than welcome to approach me and sign up.

Unverified Participant

Yeah.

Q

Hi. I'm [ph] Bjorn Hanson 00:53:11. I have attended many or ROCKWOOL annual general meetings. And the company is a good Danish business and I hope that it will remain a Danish company. There's a family called [ph] Kayla 00:53:33. And many other people have invested in the company. I hope that it will remain Danish so that in three years from now we see ROCKWOOL Denmark and ROCKWOOL International.

When I look at the financial statements for last year on page 96, I see that ROCKWOOL have started investing in warm climate. It says they now have a company in the Emirates. In the Emirates, I discovered last week when I attended the world exhibition and I visited a comp – well, an urban area. I saw a lot of ROCKWOOL beds lying around. They need a lot of investment there and they need a lot of construction materials. They both need to insulate for heat and for cold. And they had – they have some very strict requirements to the effect that they cannot all of a sudden accept that fire breaks out on the 14th floor or the 20th floor of a building.

And I hope that ROCKWOOL will be able to use a lot of its expertise and technology, perhaps transferred from Russia. The other markets, too. I've said this before. I've always been very interested in the US market, and thank you very much for the comments made by the Chairman about the US market. It is extremely positive to hear about it. At some point, there were also some environmental requirements, but it looks as if things are now on track and I'm pleased to hear it.

But the question is whether it's possible to expand production there to cover even more of the United States, because I think there are lots of old houses in, for instance, New York, that are in urgent need of renovation in order to avoid fewer fire – future fire incidents.

Slowly, perhaps, you could expand in some places and then wind up in other places. You said that you will now discontinue investments in Russia and I made a quick calculation. Are we talking between DKK 8 billion and DKK 9 billion?

A

This amount DKK 8 billion to DKK 9 billion, perhaps you could build a couple of production plants more in the United States and then in the Middle East. I must say that at the World Exhibition, at the stand from Saudi Arabia, I saw visitors. Visitors had been allowed to operate from the stand there. And in the Emirates, they are extremely interested in solar power and wind power. But in Dubai, there were also in the New World Exhibition, the one that ended on the 1st of April, a huge city is going to be built. It reminds me when I lived in the US, it took six months and then you had a city that was a bit larger than the old book and the politicians were very keen, and that's also the way it happens down there. So the lines that have come out are very short. It's the same politicians in Denmark. It's a bit more difficult here. So I suggest that ROCKWOOL try to get as many [indiscernible] 00:57:24 as possible from the horizon program. In that way, you can help out.

I hear you are very good at wrapping statutes in – statues in Ukraine, so your help is urgently needed in many places. I also hear today and I'm pleased to hear it that you have started in Norway to using energy. I didn't really know about this sources, but since we are in Norway, in Moss, and perhaps also in Eskilstuna in Sweden that it will be from Luleå in Sweden. And in Norway, it will be some of the rivers in Northern Norway that will deliver the electricity.

And you have a lot of patents I know. And the drawings that are so secret, I think you should be quick off the mark and get them out of Russia sooner rather than later because after the war, we know that the plants and factories that were located in the eastern part of Germany, all the business secrets and the documents relating to these secrets went to Russia, and it only took – well, it took practically no time.

I have also tried to calculate the losses. And you did touch upon that Mr. Kähler. I can't see why you should allow yourselves to be affected too much by the situation created by Mr. Putin. I told you 10 years ago, don't go east, go west. And I still think that is your solution. I hope that ROCKWOOL will be able to get all the relevant tools out of Russia. And there are some very good cutting machines. And they may be your own makes and your own patent. I think you should transfer them perhaps bit by bit to China, perhaps. Or if you can't take them directly, then use Maersk shipping with all the empty containers to go – only 3,000.

No, no, no. I don't think you're right there. But anyway, you can ship them to – via Vladivostok to China. These are difficult times. And I would like to thank you for paying a fine dividend to your shareholders. The executive management, I'm sure, has been given a pay increase in the form of warrants and option. And I'm only too pleased to hear that our Swedish CEO says this is a company was working for. Is it 7 or 10 years you have been with us, right, 7 or 10? Anyway, thank you for your attention. And there was also – it was written somewhere that A shares could now be converted into B shares on a 1 to 1 basis. I hope that the determining shares will still remain on the hand – in the hands of the family and that we don't get some sort of hedge fund from Leningrad that will control the whole business. Thank you.

A

Thank you. I know Thomas would just like to comment. I mean, shares can be converted, but that's not automatic. It's a voluntary arrangement. But we'll get back to that a bit later.

A

Thank you, Yeah. Thank you, [ph] Bjorn 01:01:52. I say by way of introduction, that it's nice to be together here at the Roskilde Conference Centre. And you're part of that tradition, too. Most of your intervention I heard has suggestions. There was just one question I believe, how long Jens has been our CEO. And he came in early 2015. So he's running in his eighth year, and we are pleased with that.

Anyway, yeah, it's a very, I mean, you know, proposal. If we could pack factories down in containers, sent them, shipped them off to the Emirates or to China or elsewhere. But the thing of it is that it's not possible in practice. Our factories are very big and comprehensive. Even if we were to do it, I'm sure the Russian authorities would never permit us to dismantle our plants and bring them elsewhere.

So, you're asking about the US and the new factory in [indiscernible] 01:03:06 that started in July last year is in the eastern part of West Virginia, so quite close to Washington DC. So I can also supply New York. We certainly have that possibility with the setup we have. But I certainly also hope that we will continue growing in the US. We've had a wonderful development in recent years and we certainly expect to continue that. We expect to increase our market share and to get more of a geographical spread with more plants elsewhere on that continent. We have two plants in Canada and two in the US.

Q

And I agree with many of the things that you say about – you talked about fires, you talked about the world exhibition.

A

Yes. They need a lot of insulation in the Emirates for many other countries. Traditionally, we have insulated in countries where it's cold to keep cold out. But today, more energy is spent cooling down buildings and heating up buildings. So hopefully, we'll be able to hold many general meetings where we can reach our highest growth because our products are being used in more and more places and for more and more applications. So thank you very much for your proposals and thank you for your intervention.

A

Does anyone else wish to speak? Yes.

Q

[indiscernible] 01:05:05 It's a very brief comment, a couple of years ago at the AGM here, there were some problems with the US plant. If you only have two, you will know which one I'm talking about. There were some environmental organizations that were up in arms and there were people coming over even to talk about this. I haven't been around for a couple of years, so I just wanted to hear how things are going in this case.

A

Thank you. We will have an answer from the Chairman of the Board or the CEO, they're just finding out who will deal with this. Jens, the CEO. We actually have a couple of proposals on today's agenda from the same people. But let's hear what the CEO has to say.

Jens Birgersson
President & Chief Executive Officer, ROCKWOOL A/S

A

Thank you for the question. I am sure you're talking about the plant in West Virginia. It was a terrible process, we did everything we were supposed to environmentally. And today, we have containers, measuring emissions near schools and what have you. I think there are two in Washington, DC. We have three at our facility. And this good atmosphere at the plant, everything is up and running, but there are 5 or 10 people who will never like our plant.

but gradually we are getting new neighbors that welcome us. And we no longer need bodyguards. And we take on people who live in the local community. So uncertain of time, people won't mind, but we are there.

But what we've learned from this whole case – and this is important for other plants, it doesn't matter how many new jobs, how much wealth you bring, you have to understand that there are always people objecting when you build something new, not when you enlarge something that exists, but when you build something new. We just have to accept that. We will have continued growth. We will need more capacity and there can be problems. But we spend a lot of resources doing decent risk assessments, environmental studies using the best technology available so that we know we've made the right decisions, both ethically and environmentally.

And we hope that you, our shareholders, are prepared to accept that that's the way it is. Sometimes when you build a new big plant, there are protests, but you have to take that – we must take that in our stride. We need these plants in the short term and the long term also in order to meet the UN goals. So thank you.

A

Thank you. Does anyone else wish to speak? Yes. There's one person down there. If there's anyone else, please put up your hand so that I will know whether we will finish after this intervention or not. It doesn't seem to be case. Over to you.

Q

I'm [indiscernible] 01:08:58 I have a brief question, and perhaps a longer one. The profit you expect in Russia, is that sort of locked or can that be transferred to Denmark? That was my first question. And I do not like dictatorships, and as I could see from some of your headings, you are very active in China, and Xi is at least as corrupt as Putin. So what are your plans to not be as surprised as you were in Russia? That was it for me. Thank you.

A

We'll split it in two. Thomas will come first I believe.

Thomas Kähler
Chairman, ROCKWOOL A/S

A

Yeah. Division of work here. I'll say a bit about China and then Jens can talk to you about the technicalities when it comes to getting money out of Russia. We are in China. We have two plants there, two factories but our presence in China is much smaller than Russia. Russia has been a huge growth market for us ever since the breakdown of the Soviet Union. And for a good reason because with the economy they had before, they did not pay the market price for heating. So when suddenly they had to pay for heat, there were suddenly a huge need to insulate buildings in Russia and there still is that need. So that's the story of our Russian business. In China, we are quite small and we have acquired a couple of existing plants. We had to relocate one of them because, well, all of a sudden, there was to be residential – was to become a residential area. So we had to relocate that and build another small factory there. So the situation like we have seen does give us food for thought and that will form part of our assessment of risk when the board and management make decisions going forward on new investments in other parts of the world.

And I'll leave it to Jens to explain the thing about the rubles, whether they can become korne or what.

Jens Birgersson
President & Chief Executive Officer, ROCKWOOL A/S

A

The brief reply. The brief reply about the profit is that it works, but we have Russia in kind of a cash pool and we can draw money out and we'll continue doing that. And this is how usual bankers. They handle that. It works okay, just like it always has.

Unverified Participant

Thank you. And from what I've seen, there was nobody else who wanted to speak. So we are going to finish the discussion now about the first three items.

So, if you take a look at the agenda here, the first item that was about our asset report and presentation of the annual report. And on the basis of the debate we have had, with the report has been, we've taken note of the report.

Item three is adoption of the annual report, including discharge of liability for the management and board of directors. There's an unqualified report from the auditors. You can find that on pages 99 to 101 in the annual report. Are there any comments or queries concerning the annual report of this proposal concerning discharge? If that is not the case, I conclude that these proposals have been duly adopted.

That brings us to item four, presentation of an advisory vote on the remuneration report. Thomas mentioned it in his presentation. So it's the description of the pay given to board and management in 2021. It's been available on the website. I'm not going to go through it in any detail. So can we duly approve that in this advisory vote? Duly approved.

So it brings us to item five, that the approval of the remuneration of the board for 2022, 2022. We've seen an adjustment here of the fee, the base fee will be €400,000 for regular member, the vice chair, twice the basic fee, and the chairman is three times the basic fee. And there are additional fees for committee work. The chair of the audit committee, €330,000, and members of the audit committee, €200,000. And the member of the remuneration committee will get €100,000 extra. So you can see that. This is an adjustment, 11.1% up. You have to bear in mind that the fees have not been changed since 2019. The purpose is to bring the level of the fee to the level of other Danish last cap companies. Are there any questions or comments regarding this proposal?

That is not the case. So duly adopted. It brings us to item 6. It's a bit of a formality because we have dealt with the annual report. It's the allocation of profit according to the adopted accounts. As Thomas described it in his report, the proposal is to pay a dividend of DKK 35 per share. That gives €102 million as the total dividend. You are being paid in Danish kroner, I must say. Any questions or comments concerning that one?

That is not the case. So that brings us to item 7. It's the election of members of the board of directors. Members are elected for one year at a time in the board's proposal. Board is proposing a re-election of the following members. Here's Thomas Kähler, Carsten Bjerg, we have Jørgen Tang-Jensen, Rebekka Glasser Herlofsen, and also re-election of Carsten Kähler. And as Thomas mentioned in his presentation, the board is presenting a new candidate, Ilse Irene Henne and you can read in the convening notes as the information about all the other jobs of these candidates and their competencies. And as Thomas mentioned, Andreas Ronken is not rerunning for the board. So there are three employee-elected members of the board, Connie Enghus Theisen, Christian

Westerberg, as you can see here, and Berit Kjerulf. But those that are elected here by the AGM, I want to ask if there are any questions or comments concerning the proposal? That is not the case. I think a brief applause will congratulate with reelection and one new election. So the board expects that Thomas will be the Chairman and Carsten will be the Vice Chair.

So that brings us to Item 8, election of auditor, proposes to reelect PricewaterhouseCoopers, a state-authorized audit partnership. Any questions or comments concerning that? The auditors are sitting right down here, no comments or questions. So they have been duly elected.

Unverified Participant

So now we will embark on the list of proposals from the board and shareholders. First, a standard item authorization to acquire Treasury shares. The proposal is that the company may acquire Treasury shares both A and B up to 10% of the total equity capital and with the limitation that that the price paid but may not deviate by more than 10% from the most recently listed share price. Any comments? That is not the case. It has been adopted.

That was 9a, now 9b, the possibility of reregistering or converting A shares to B shares. This is a voluntary measure. It is up to shareholders themselves to decide if they wish to convert a number of A shares to B shares. We have in the convening notice the complete wording of the proposal, which is farily technical. Here, I will only deal with some of the more central element of the proposal.

It will be impossible for a shareholder to apply for a conversion of shares four times a year in connection with the annual report, the quarterly report and the interim report. There will be a window each time, and the first time will be in connection with the interim report 2022. It would be on a 1:1 basis. If you have an A share, it will be converted into a B share. If there's a price difference at the time of the conversion, nothing will be paid out. It is simply a mere changeover from A to B.

There are some important conditions. You must be registered as a shareholder and also you need to send in a completed form. And there will be more details available later if you wish to use this opportunity. It will be available on the website. And there will also be company release in case the company wishes to restrict this possibility or otherwise to do something. And Mr. Andersen – Mr. Bjørn Andersen has asked for the floor.

Bjørn Rici Andersen

Senior VP-Group Operations & Technology, ROCKWOOL A/S

A

It sounds as a very simple process, but I'm afraid it is not. We have had both A and B shares for many years in this company. The B share is liquid. And now we see that the banks are very much annoyed at this. The – we have name I.D and meet ID. And the A share is not a liquid share. We have mostly been thinking of the A share for the past five years. And yesterday I made a quick calculation, the B share has also been to our benefit. We have made money on it, although not this year. But I hope that you maintain on the stock exchange, and I would like you to confirm this. Do – will both shares continue to be listed there, or will we all of a sudden wake up one morning and find that there's only one share?

A

Thomas, you can confirm both.

A

It says nothing about the listing one share or the other or type. There is nothing in this proposal to indicate that this is going to happen. And Mr. [ph] Kaler01:22:01, for comment.

A

I can only confirm the proposal tries to solve the problem with very little liquidity in the Asia. And we've already seen the effect because the Asia has grown in list – in price now. So there are no plans of de-listing the Asia. It is only as explained in the proposal.

A

Any other questions or comments to the proposal? It is an amendment to the Articles of Association and it requires a two-thirds majority of the votes cast, et cetera, et cetera. But I could inform you that with the postal votes and the proxies received, it has already been approved.

Unverified Participant

Thank you very much. Next, 9c, which is also quite special in the sense that we will change something as fundamental as the company's name. It's just a deletion, however, it's not an entire new – an entirely new name. We usually just call the company ROCKWOOL. So that is why there's a proposal now to call the company ROCKWOOL A/S going forward. But it's also part of the proposal that since ROCKWOOL International was also used in some technical context that it be maintained as a new secondary name. Any comments or questions?

Unverified Participant

That is not the case. Congratulations with the new name.

Unverified Participant

And then the two shareholder proposals. I would refer you to the convening notice where you have the full wording and the complete proposals. You have been able to see this on the company's website and we also have copies available in the room so that you can read the full explanations, the reasoning given by the people proposing this.

First there is a proposal from [ph] Mr. Ross 01:24:23. And I'm just reading out now the wording contained here in the convening notice. This is going beyond the regulatory requirements and beyond the disclosure requirements as they apply now. The board does not propose – support the proposal, but the board notices that this is practically identical to the proposals made to the AGMs in 2019, 2020, and 2021. And the board still finds that the company gives all the necessary information concerning risks in the annual report and now also in the comprehensive and detailed sustainability report.

I'd like to hear if there are any questions or comments to this. If that is not the case. I find that the proposal has not been adopted. There's an overwhelming majority against it.

Let's proceed now to 9e, this has to do with disclosure of political contributions. Shareholder Catherine Jozwik proposes that the company provides a report with an update on policies and procedures for making or directing with corporate funds to excess contributions and expenditures to participate or intervene on behalf of any candidate for public office or influence the general public or any segment thereof. And there's a proposal that this report be updated on a biannual basis and that each state the amount paid out and who is responsible for making the payment. You can see the text on the slide behind me and is also available in its complete wording in the convening notice. The two shareholders are not in his complete wording in the convening notes that the two shareholders are not present in the room today. The board does not support this proposal. There is an internal policy for donations and non-commercial sponsorships, which prevents ROCKWOOL from giving money to political parties, trade unions or candidates or donations aimed at furthering the personal interests of any person. The proposal was also put forward in 2021 and was also not adopted at the time. The board finds that the present policy is sufficient.

Any comments or proposals? If that is not the case, I find that the proposal has not been adopted. So we have arrived at any other business. The last item on the agenda, we cannot make any resolutions here, but you can ask for the floor with anything that you might wish to discuss.

All right. I'll give the floor back now to the chairman of the board for some final comments.

Thomas Kähler

Chairman, ROCKWOOL A/S

Thank you. So that brought us to the end of today's program. Thank you, Anders, for taking us safely through the agenda and the many proposals. Thank you to all of you for coming back here to the Roskilde conference, and I really look forward to meeting you again in the coming years in this way. Thank you for coming.